Kapasa Makasa University

Department of Agriculture and Aquatic Sciences

Agribusiness Management (SA: 500)

Lecture 5: Taxation & Form of Business Organizations

by

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Introduction

Forms of Business Organisation

- Forms of Business Organization also known as Business structures are simply legal vehicles (modes) through which businesses (agribusinesses) can be conducted.

The type of business structure affects how a business is:

- Regulated
- Taxed
- Managed.

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Forms of Business Organisation

In Zambia, forms of business organizations include:

(i) **Unincorporated businesses** such as sole proprietorship (sole trader) and partnership

(ii) Corporations or incorporated businesses such as companies, cooperative societies and trusts.

Thus, we will only discuss selected forms of business structures relevant to agribusiness and how each is taxed.

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Factors influencing choice of business form

- Deciding which form of business organization is best for your agribusiness, depends on the owner's objectives.

The following are some of the factors that influence choice of business form:

1. Nature and Objective of the agribusiness (e.g. risk, type of business)
2. Availability of and Access to Capital
3. Regulations (e.g. tax and other regulations)
4. Privacy
5. Registration Requirement

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1. Sole Proprietorship (Sole Trader)

- **A Sole Proprietorship is a business owned, financed, and controlled by one person.**





(a)



(b)

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Advantages and Disadvantages of Sole Proprietorship

Advantages

- Easy & cheap to start
- Full control (autonomy)
- Simple taxation (Turnover Tax)
- Not heavily regulated
- No disclosure of audited financial report
- Enjoys all the profit

Disadvantages

- Unlimited liability
- Limited capital
- Limited managerial skills
- Business ends if owner dies
- Suffers the loss alone

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2. Partnership

- A business owned by two or more people who share profits and losses.



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Advantages and Disadvantages Partnership

Advantages

- Easy & cheap to start
- Not heavily regulated
- No disclosure of audited financial report
- More capital than sole trader
- Shared risk and skills

Disadvantages

- Conflict risk
- Unlimited liability
- Slow decision-making
- One partner can bind others
- Each partner pays income tax
- Shared profit

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3. Private Limited Company by Shares (Ltd)

A separate legal entity (person at law) owned by shareholders with limited liability.

- 1–50 shareholders
- At least 1 director
- Company secretary

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Advantages and Disadvantages Private Limited Company

Advantages

- Limited liability
- Easier capital raising
- Business continuity
- Professional management
- Can contract & be sued as a person in its name

Disadvantages

- Higher formation cost
- Corporate tax (for large companies only)
- Heavy Regulation & reporting requirements

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4. Public Limited Company (Plc)

- **A company whose shares are offered to the public and traded on the stock exchange.**
- Listed on: Lusaka Securities Exchange (LuSE)

Examples:

- Zambia Sugar Plc
- Zambeef Products Plc
- ZAFFICO Plc

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Advantages and Disadvantages Public Limited Company

Advantages

- Massive capital raising
- Limited liability
- Strong governance
- Corporate image
- Can contract & be sued as a person in its name
- Professional Management

Disadvantages

- Expensive to operate
- Complex regulation
- Expensive to register
- Loss of control
- Corporate tax
- Public disclosure of audited financial reports

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5. Cooperative Societies

- **A Cooperative is a member-owned business formed to meet common economic needs with a minimum of 10 members.**
- There are different types of cooperative societies. Agricultural cooperative is one of them.

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Advantages and Disadvantages of Cooperatives

Advantages

- Member empowerment
- Access to markets
- Limited liability
- Collective bargaining power
- More capital raising than sole trader
- Access to Government Support (Grant, Loans, FISP)
- No tax (unless engaged in profit making)

Disadvantages

- Slow decision-making
- Weak professional management
- Common ownership
- Profits are shared

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Importance to an Agribusiness Manager

Understanding business structures helps in:

1. Choosing the Right Structure

- Small poultry → Sole Trader
- Seed company → Private Ltd
- Farmer group → Cooperative

2. Tax Planning

- Sole Trader → Turnover Tax
- Company → Corporate Tax

3. Accessing Capital

- Sole Trader → Limited funding
- Private Ltd → Shares & loans
- PLC → Raise funds on LuSE

4. Legal Compliance

- Non-compliance = Fines, closure, loss of credibility

5. Strategic Value Chain Positioning

Private Ltd & PLC more credible for:

- Export markets
- Large contracts
- Donor-funded projects

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Taxation in Agribusiness

- A **tax** is a compulsory transfer of resources from the private to the public sector, imposed by a government or public authority to raise revenue for public purposes, without being a direct payment for specific goods or services.
- **Taxation** is the process of imposing these compulsory levies on individuals, businesses, or entities to fund public goods and services
- Tax revenue is administered by the Zambia Revenue Authority (ZRA) under the policy direction of the Ministry of Finance and National Planning.
- Tax planning is a strategic function in agribusiness management, impacting **pricing**, **profitability, cash flow**, **investment,** and **compliance costs.**

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Functions of Taxation

- Revenue generation (primary).
- Income redistribution (via progressive rates).
- Economic stabilization.
- Protection of local industries (e.g., via customs duties).
- Encouragement of priority sectors (e.g., lower rates for farming).

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Taxable vs Exempt

- **Taxable Income**: Business profits, Salary, Rental, Investment, Farming.
- **Taxable Persons**: Individuals, sole traders, partnerships & companies.
- **Exempt Persons**: Approved charities & government bodies.

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Classification of Taxes

Taxes are broadly classified as:

(i) Direct Taxes: Paid directly by the taxpayer to the government (based on income/wealth).

- Examples: PAYE, Corporate Tax, Turnover Tax, Withholding Tax & Property Transfer Tax.

(ii) Indirect Taxes: Collected via transactions/intermediaries (borne by consumers).

- Examples: VAT, Excise Duty, Customs Duty.

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Main Tyes of Taxes

Tax Type	Examples	Direct or Indirect?
Income Taxes	PAYE, Corporate Tax, Turnover Tax, WHT	Direct
Presumptive Taxes	Rental, Public Vehicles	Direct
Consumption Taxes	VAT, Excise Duty	Indirect
Trade Taxes	Customs Duty	Indirect

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Turnover Tax (ToT) for Sole Traders

Turnover Tax (ToT) is a simplified **direct tax** charged on a business's **gross sales (turnover)** instead of profit.

Feature	Details
Tax Rate	**5%** on gross turnover
Tax-Free Threshold	First **K2,500** per month (K30,000 per year) is taxed at **0%**
Eligibility	**Sole Traders**, **Small Private Ltd Companies** (Turnover ≤ K5m)
Exclusions	Partnerships (usually), Mining, Rental Income, Consultancy Fees
Payment Deadline	**14th day** of the month following the transaction
Late Penalty	**0.5%** per month

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Example Calculation (Monthly) (ToT)

If your Sole trader business (an agro-dealer) makes K10,000 in sales in March 2026:

- Exempt Amount: First K2,500 (Tax = K0)
- Taxable Amount: K10,000 - K2,500 = K7,500
- Tax Calculation: K7,500 x 5% = K375
- Total ToT Payable = K375
- If your business is registered for VAT, you cannot be on Turnover Tax, even if your turnover is low.
- You must choose one or the other based on your registration status.

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Personal Income Tax for Partnerships & Employees

Taxation of Employment Income (PAYE) is deducted monthly by the employer and remitted by the **10th** of the following month. Progressive bands (2026):

Monthly Chargeable Income (ZMW)	Rate
First 5,100	0%
Next 5,100.01 – 7,100	20%
Next 7,100.01 – 9,200	30%
Above 9,200	37%

Partnership falls under PAYE as each partner is subjected to pay Personal Income Tax Individually

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Pay As You Earn (PAYE)

Worked Example:

Monthly salary = ZMW 15,000 (assume no deductions for simplicity). Annual = ZMW 180,000.

Using approximate monthly bands (cumulative):

- First ZMW 5,100: 0% = ZMW 0
- Next ZMW 2,000 (to 7,100): 20% = ZMW 400
- Next ZMW 2,100 (to 9,200): 30% = ZMW 630
- Remaining ZMW 5,800: 37% = ZMW 2,146
- **Monthly PAYE ≈ ZMW 3,176** (employer remits by 10th).

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How are Partnerships Taxed in Zambia

- A partnership **is not treated as a separate taxpayer** for income tax purposes.
- The business itself does *not* pay income tax on profits as an entity.
- Instead, the profits are attributed directly to the individual partners.
- This means partnerships are **“pass-through” entities.**
- That is, income flows through to the partners for tax purposes, not to the partnership.
- Partnership are remitted by 31st March following the end of the charge year

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Example of Partnerships Tax Calculation

If partnership profit for the year is **ZMW 400,000**, and the partners agree:

- Partner A: 50%
- Partner B: 30%
- Partner C: 20%

Step 1: Allocate Partnership Profit =K400,000

Partner	Share %	Income (ZMW)
A	50%	200,000
B	30%	120,000
C	20%	80,000

Annual Personal Income Tax Bands (ZMW)

Income Band	Rate
0 – 61,200	0%
61,201 – 85,200	20%
85,201 – 110,400	30%
Above 110,400	37%

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Example of Partnerships Tax Calculation

Step 2: Calculate Tax for Each Partner

Partner A (Income = 200,000)

- 0 – 61,200: 0% = 0
- 85,200 – 61,200 = 24,000 × 20% = 4,800
- 110,400 – 85,200 = 25,200 × 30% = 7,560
- 200,000 – 110,400 = 89,600 × 37% = 33,152

Total Tax = 0 + 4,800 + 7,560 + 33,152 = 45,512

Partner B (Income = 120,000)

- 0 – 61,200 = 0
- 85,200 - 61,201 = 24,000 × 20% = 4,800
- 110,400 - 85,201 = 25,200 × 30% = 7,560
- 120,000 – 110,400 = 9,600 × 37% = 3,552

Total Tax = 0 + 4,800 + 7,560 + 3,552 = 15,912

Partner C (Income = 80,000)

- 0 – 61,200 = 0
- 80,000 – 61,200 = 18,800 × 20% = 3,760
- 80,001 – 80,000 = 0 × 30% = 0

Total Tax = 3,760

Partner	Income (ZMW)	Tax Payable (ZMW)
A	200,000	45,512
B	120,000	15,912
C	80,000	3,760

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Company Income Tax (Corporate Tax)

- Standard rate: **30%**.
- Preferential rates for priority sectors:

Sector/Activity	Rate
Standard corporate	30%
Farming & agro-processing	10%
Non-traditional exports (general)	20%
Telecommunications	35%

- Note: The **10%** rate applies only to qualifying farming/agro-processing income (e.g., crop production, livestock rearing, primary agro-processing; not pure trading/reselling).
- Remitted by 21st June following the end of the tax year (if filed electronically) and 5th June if the return is submitted manually by paper.

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Agribusiness Tax Incentives

The following are the incentives to promote agribusiness investment:

- **10% Corporate Tax** (vs 30% standard) for qualifying farming/agro-processing.
- **Zero-rated VAT** on exports and specific inputs (fertilizers, seeds, pesticides).
- **Customs Duty exemptions/relief** on Agri-machinery (tractors, irrigation, processing equipment).
- **Accelerated Capital Allowances** (e.g., 100% on farming implements/machinery).
- **Deductibility** of development expenses (soil testing, R&D, training, etc.).
- **Dividends:** Farming companies are exempt from paying tax on dividends for the first 5 years from the date they start farming.

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Example 1: Standard Corporate Company (30% Tax Rate)

Aporing Manufacturing Ltd is a standard manufacturing company (non-agricultural). The following Income Statement relates to the year ended 31 December 2026 (ZMW):

Description	Amount (ZMW)
Revenue	**18,000,000**
Cost of Sales	(11,000,000)
Gross Profit	7,000,000
Salaries & Wages	(1,500,000)
Rent & Utilities	(1,000,000)
Depreciation (Accounting)	(800,000)
Marketing & Admin Expenses	(1,200,000)
Profit Before Tax	2,500,000

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Example 1: Standard Corporate Company

Additional Tax Information:

Accounting depreciation is not allowable for tax.

- Capital allowance (25% wear & tear on machinery) = ZMW 600,000.
- Non-deductible expenses (fines & entertainment) = ZMW 200,000.

Corporate tax rate = 30%.

a) Compute the Taxable Profit.

b) Calculate Corporate Income Tax payable.

c) Determine Net Profit After Tax.

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Example 1: Standard Corporate Company Solution

Step 1: Start with Accounting Profit

- Accounting Profit = ZMW

  2,500,000

Step 2: Add Back Disallowed Items

Add back:

- Accounting depreciation = 800,000
- Disallowed expenses = 200,000
- Total Add-backs = 1,000,000

Adjusted subtotal:

2,500,000 + 1,000,000 = **3,500,000**

Step 3: Deduct Allowable Capital Allowances

- Capital Allowance = (600,000)

Taxable Profit: 3,500,000 – 600,000 = **ZMW 2,900,000**

Step 4: Calculate Corporate Tax (30%)

Tax Payable: 2,900,000 × 30% = **ZMW 870,000**

Step 5: Net Profit After Tax 2,900,000 – 870,000 = **ZMW 2,030,000**

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Example 2: Agricultural / Agro-processing Company

Kratos Agro Ltd is engaged in commercial maize farming and primary milling (qualifying agricultural income). Income Statement for year ended 31 December 2026 (ZMW):

Description	Amount (ZMW)
Revenue	**16,000,000**
Cost of Production	(9,500,000)
Gross Profit	6,500,000
Farm Labour & Salaries	(1,200,000)
Inputs & Utilities	(900,000)
Depreciation (Accounting)	(900,000)
Transport & Training	(700,000)
Profit Before Tax	2,800,000

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Example 2: Agricultural / Agro-processing Company

Additional Tax Information:
Accounting depreciation is disallowed.

- 100% accelerated capital allowance on tractors & milling equipment = ZMW 1,200,000.
- Allowable agricultural development expenses (soil testing & extension training) = ZMW 150,000.
- Disallowed expenses = ZMW 100,000.
- Corporate tax rate for qualifying farming/agro-processing = 10%

a) Compute the Taxable Profit.

b) Calculate Corporate Income Tax payable.

c) Determine Net Profit After Tax.

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EXAMPLE 2: Solution

Step 1: Accounting Profit = ZMW **2,800,000**

Step 2: Add Back Disallowed Items

Add back:

- Accounting depreciation = 900,000
- Disallowed expenses = 100,000
- Total Add-backs = 1,000,000
- Subtotal: 2,800,000 + 1,000,000 = **3,800,000**

Step 3: Deduct Allowable Items

- 100% capital allowance = (1,200,000)
- Development expenses = (150,000)
- Total Deductions = 1,350,000

Taxable Profit: 3,800,000 – 1,350,000 = ZMW 2,450,000

Step 4: Corporate Tax (10%)

Tax Payable: 2,450,000 × 10% = ZMW 245,000

Step 5: Net Profit After Tax

2,450,000 – 245,000 = **ZMW 2,205,000**

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Withholding Tax (WHT)

- Withholding Tax (WHT) is a tax deducted **at source** when certain payments are made.

Payment Type	**Rate (Resident)**
Dividends	15%
Interest (companies)	15%
Interest (individuals)	25%
Rent	0 to 16%
Management/consultancy fees	15%

- Instead of the recipient paying tax later, the **payer deducts the tax first** and remits it to the **Zambia Revenue Authority (ZRA)**.

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Withholding Tax (WHT) for Rental

Annual Rental Income (ZMW)	Tax Treatment / Rate
Up to K12,000	**0% tax** – no rental tax payable
Above K12,000 up to K800,000	**4%** rental tax on total gross rental income
Above K800,000	**16%** rental tax on total gross rental income

- **Property Transfer Tax (PTT)**

Transaction	Rate
Land & buildings	8%
Shares	8%

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Value Added Tax (VAT)

- **Value Added Tax (VAT)** Standard rate: **16%**.
- **Zero-rated** (0% charged, but input VAT recoverable): Exports, certain agricultural products/inputs (e.g., fertilisers, seeds, pesticides for agriculture).
- **Exempt**: No VAT charged or recoverable (e.g., certain food items, health/education).

VAT concepts:

- **Output VAT**: Charged on taxable sales.
- **Input VAT**: Paid on purchases.
- **Net VAT payable** = Output VAT – Input VAT.

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Value Added Tax (VAT) Worked Example

Poultry farm sells eggs worth ZMW 1,000,000 (VAT-exclusive).

- Output VAT: 1,000,000 × 16% = ZMW 160,000.
- Purchases (feed, etc.): ZMW 600,000 + ZMW 96,000 input VAT.
- Net VAT to ZRA: 160,000 – 96,000 = **ZMW 64,000**.
- Farm claims input VAT, improving cash flow.
- VAT remitted by 18th monthly

Class Practice

Assuming that Zambia Sugar, on 15th February, 2026, sold 500 1kg packets of white sugar to a retailer in Kabwe at a price of K35 per packet VAT inclusive. If the retailer, by the end of March 2026, in turn sold all the 500 packets to final consumers at a price of K40 VAT inclusive per packet, calculate the amount of VAT each of these actors in this value chain would pay to the Zambia Revenue Authority (ZRA).

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Customs Duty (on imports) & Excise Duty

Customs Duty (on imports)

Category	Rate
Raw materials	0%
Capital goods	5%
Intermediate goods	15%
Finished goods	25%

Excise Duty

- **Excise Duty** in Zambia is a selective indirect tax levied on specific goods and services considered to have negative externalities (e.g., health/environmental impacts), luxury status, or high revenue potential.
- It is imposed on both imported and domestically produced excisable items, often in addition to customs duty (on imports) and VAT.
- Rates are usually product-specific.

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Excise Duty

Excise duty applies to:

- Fuel (petroleum products like petrol, diesel, kerosene)
- Alcohol (spirits, beer, wines, etc.)
- Tobacco (cigarettes, unmanufactured tobacco)
- Motor vehicles (selected new/used, with concessions for hybrids)
- Airtime (telephone/mobile airtime and data services)
- Other items (e.g., non-alcoholic sugary drinks, single-use plastics, cement, plastic bags)

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Tax Avoidance vs Tax Evasion

Feature	Tax Avoidance	Tax Evasion
Definition	Using legal methods to **minimize tax liability** by taking advantage of tax incentives, deductions, exemptions, or planning.	Using **illegal methods to not pay taxes**, e.g., underreporting income, inflating expenses, hiding assets.
Legality	Legal, as long as it complies with the law.	Illegal and punishable under the law.
Intent	Reduce taxes **within the law**.	Evade taxes by **breaking the law**.
Examples	Claiming allowable deductions	
Implications	Taxpayers engaging in aggressive avoidance schemes may be challenged by ZRA, even if technically legal.	Tax evasion is **a criminal offence**, and ZRA prosecutes offenders.

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The End

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